



Tereos Half Year 2022/23 Results

December 6, 2022

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#1 - Results



BUSINESS HIGHLIGHTS

CONTINUING PERFORMANCE IMPROVEMENT...

Strong results

- EBITDA growth of +124% yoy, reaching €464m in the 6-month period; 12-month rolling EBITDA at €946m
- Recurring EBIT of €266m (+729% yoy)
- Cash flow after CAPEX and before working capital variation of €202m (€-46m in the previous year)

Proven commercial performance

- Commercial and operational excellence of core business: EBITDA margin improved by +650bps
- Good results of our commercial strategy across all segments leading to increasing selling prices; for the Sugar & Renewables Europe division, annual fixed-price contracts for B2B sugar reached c. €900/t on average, reflecting variation on production costs such as energy that showed high volatility

... DESPITE PERSISTENT MARKET CHALLENGES :

High raw materials and energy prices

- Gas and wheat prices in Europe still at high levels

Global uncertainty

- War in Ukraine: no direct exposure at Tereos
- Inflation and interest rate fluctuations: actions to limit impacts
- Supply: continuous tracking to anticipate any risk

Continuity of the profitability improvement trend; commercial strategy delivering results and protecting margins



KEY H1 2022/23 FIGURES

REVENUES

€2,975 m

+31% at
constant foreign exchange rate
(+35% at current foreign
exchange rate)

ADJUSTED EBITDA

€464 m

+124% at
constant foreign exchange rate
(+132% at current foreign
exchange rate)

RECURRING EBIT

€266 m

+729% at
constant foreign exchange rate
(+739% at current foreign
exchange rate)

CASH FLOW AFTER CAPEX, BEFORE CHANGE IN WC

€202 m

(€-46m in 2021/22)

NET PROFIT

€133 m

(€-50m loss in 2021/22)

DECREASING LEVERAGE

2.4x

(3.5x in March 2022)

STRONG OVERALL FINANCIAL PERFORMANCE IN H1 22/23

Income statement	21/22	22/23		
€ m	H1	H1		var
Revenues	2,199	2,975	+776	+35%
Adj. EBITDA	200	464	+264	+132%
Adj. EBITDA Margin	9.1%	15.6%	+6.5pts	
Depreciation / amortization	-220	-227	-7	
Seasonality adjustment	48	29	-19	
Others	4	1	-3	
Recurring EBIT	32	266	+235	+758%
EBIT	31	266	+234	
Financial result	-87	-96	-8	+10%
Corporate income tax	4	-38	-42	
Share of profit of associates	2	1	-1	
Net results	-50	133	+183	

Adjusted EBITDA at €464m – up €264 million vs last year resulting from good commercial and operational performance, in a context of increasing raw material and energy costs, in a very volatile market

Recurring EBIT mainly driven by the improvement in EBITDA, partially offset by depreciation and amortization effects

Net profit mainly driven by the improvement in operating results

POSITIVE FREE CASH FLOW GENERATION

Net debt variation	21/22	22/23
€ m	H1	H1
Net debt (opening position) excluding IFRS16	-2,421	-2,236
Adj. EBITDA	200	464
Other operational flows	24	7
Net financial charges	-71	-79
Income tax paid	-9	-18
Cash Flow	144	374
Maintenance & Renewal	-125	-135
Other CAPEX	-65	-37
Cash Flow after Capex	-46	202
Change in working capital	276	-14
Cash Flow from operating activities	230	188
Financial investments	-3	-18
Disposals	5	1
Dividends received	9	10
Cash Flow after investing activities	241	182
Dividends paid & price complement	-22	-7
Capital increases/other capital movements	-6	-12
Cash Flow from (used in) transactions relating to equity	-28	-19
Free Cash-Flow	213	162
Other (incl. FOREX impact)	-31	-27
Net debt excluding IFRS16	-2,239	-2,101
Impact IFRS16	-129	-140
Net debt (closing position)	-2,368	-2,240

Financial charges under control

Effective financing strategy led to limited increase in financial charges despite sharp increase in reference rates

Increase in operational FCF before WC

Strong improvement in EBITDA led to sharp increase in FCF before change in WC, largely covering CAPEX

Change in WC

In H1 22/23 higher prices had a positive impact on the WC variation for payables but it was compensated by negative impact of receivables and inventories; besides, to recall, in H1 21/22 we recognized a strong positive effect from margin calls, which was not the case for H1 22/23

Positive free cash-flow

Driven by operational improvements (operating cash flow generation, excluding change in WC, largely covering CAPEX)

Lower net debt

Positive free cash flow partially offset by non-cash effects such as foreign exchange rate variation

SUGAR & RENEWABLES EUROPE

INCREASE IN REVENUES AND EBITDA

€ m	21/22 Q2	22/23 Q2	var		21/22 H1	22/23 H1	var	
Volumes sold								
<i>Sugar (kt)</i>	520	561	+41	+8%	1,081	1,165	+83	+8%
<i>Alcohol & Ethanol (k.m3)</i>	114	133	+20	+17%	217	253	+37	+17%
Revenues	373	545	+171	+46%	752	1,062	+309	+41%
Adjusted EBITDA	37	84	+47	+128%	71	177	+106	+149%
<i>Adj. EBITDA Margin</i>	9.8%	15.4%	+5.5pts		9.5%	16.7%	+7.3pts	
Recurring EBIT	6	51	+45	+733%	10	113	+103	+1050%
EBIT	6	51	+45	+736%	10	113	+103	+1069%

Increase in revenues

Revenues were supported by the increase in ethanol and sugar prices, as well as higher volumes compared to H1 21/22

EBITDA improved by +149%

Improvement driven by revenue growth, linked to a successful commercial and industrial performance and increase in selling prices, which compensated rising energy costs.

SUGAR & RENEWABLES INTERNATIONAL

INCREASE IN REVENUES AND EBITDA

€ m	21/22 Q2	22/23 Q2	var		21/22 H1	22/23 H1	var	
Volumes sold								
<i>Sugar (kt)</i>	604	602	-2	0%	920	858	-62	-7%
<i>Alcohol & Ethanol (k.m3)</i>	63	136	+72	+114%	143	189	+46	+32%
Revenues	252	285	+133	+53%	423	583	+161	+38%
Adjusted EBITDA	12	75	+63	+521%	61	119	+58	+96%
<i>Adj. EBITDA Margin</i>	4.8%	19.6%	+14.7pts		14.4%	20.4%	+6.0pts	
Recurring EBIT	-18	31	+49	-273%	1	28	+27	+2454%
EBIT	-18	31	+49	-273%	1	28	+27	+2454%

Increased revenues

Driven by good operational performance and increase in yields, coupled with high sugar prices, and, to a lesser extent, ethanol prices

EBITDA improved by +96%

Improvement driven by operational performance and selling prices, factors that allowed to cover cost inflation on some production items

STARCH, SWEETENERS & RENEWABLES

STRONG PERFORMANCE TRANSLATING INTO HIGHER REVENUES AND EBITDA

€ m	21/22 Q2	22/23 Q2	var		21/22 H1	22/23 H1	var	
Volumes of cereals ground (kt)	992	923	-69	-7%	1,983	1,829	-154	-8%
Volumes sold								
<i>Starch & Sweeteners (kt)</i>	560	512	-48	-9%	1,111	1,039	-72	-6%
<i>Alcohol & Ethanol (k.m3)</i>	89	76	-14	-16%	180	149	-32	-18%
Revenues	444	621	+177	+40%	856	1,198	+342	+40%
Adjusted EBITDA	29	69	+40	+139%	47	148	+100	+212%
Adj. EBITDA Margin	6.5%	11.2%	+4.6pts		5.5%	12.3%	+6.8pts	
Recurring EBIT	6	49	+43	+730%	2	105	+104	+5607%
EBIT	6	49	+43	+732%	2	105	+104	+5777%

Higher revenues

Driven by increase in prices across all product categories despite slightly lower volumes

Strong increase in EBITDA

Higher selling prices compensated the strong increase in energy and cereal prices

CONTINUOUS REDUCTION IN LEVERAGE AND SOLID FINANCIAL SECURITY

Over €1.2bn of available liquidity:

- €443m of cash
- €760m of undrawn committed long-term lines
- Liquidity largely covers short-term maturities

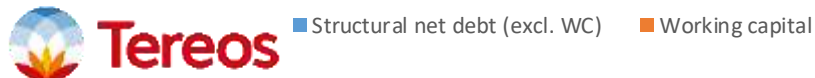
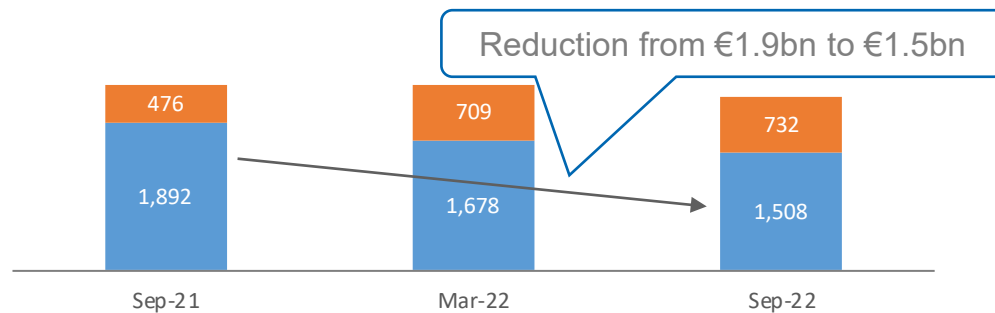
Successful financing operation:

- Add-on for Tereos France sustainability-linked RCF successfully signed in November with a pool of relationship banks to cover temporary working-capital needs
- Sustainability-linked loan signed in Brazil in June

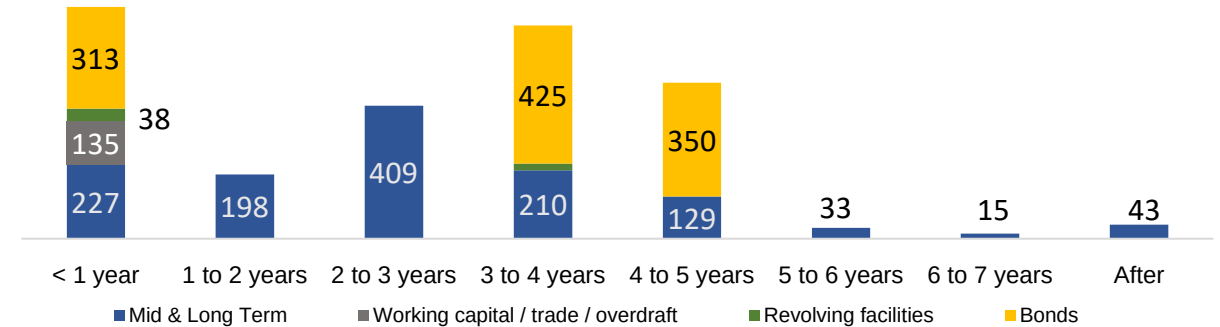
Continuous improvement in leverage and structural debt:

- Leverage reached 2.4x which represents historically low level
- Structural net debt (net debt excluding working capital) reduced from €1.9 billion in September 2021 to €1.5 billion in September 2022

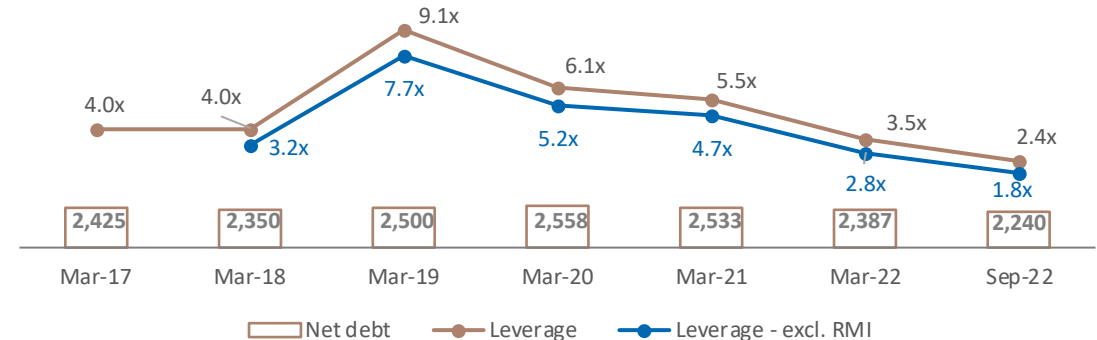
Reduction in structural net debt (€m)



Debt maturity schedule as of September 30, 2022¹ (€m)



Net debt (€m) / Net leverage² (x)



RENEWED LONG-TERM CSR ROADMAP BUILT ON 5 PILLARS AND 10 ACTIONABLE BUILDING BLOCKS



*Reduce gross CO2 emissions in Europe by 30% (vs 2015)
Reduce water consumption by 20% (vs 2017)*

FIVE
PILLARS



**SUSTAINABLE
AGRICULTURE**



**PROTECTION
OF THE
ENVIRONNEMENT**



**POSITIVE INDUSTRY
&
DECARBONISATION**



**RESPONSIBLE,
HEALTHY
AND QUALITY
NUTRITION**



**EMPLOYEES
& LOCAL
DEVELOPMENT**

TEN
BUILDING BLOCKS

1 Improve farm performance

2 Contribute to the protection of biodiversity

3 Optimize resources

4 Promote energy efficiencies & low-carbon energy

5 Optimize water consumption

6 Become a partner of reference on nutritional reformulation

7 Promote responsible consumption, through a sugar education program

8 Ensure safety and well-being of our employees and partners

9 Promote diversity and ensure gender equality

10 Support local development through our industrial presence and raw materials from local agriculture

#2 Outlook



WORLD SUGAR PRICES AT HIGH LEVELS; MARKET CLOSE TO EQUILIBRIUM WITH SUPPLY RISKS

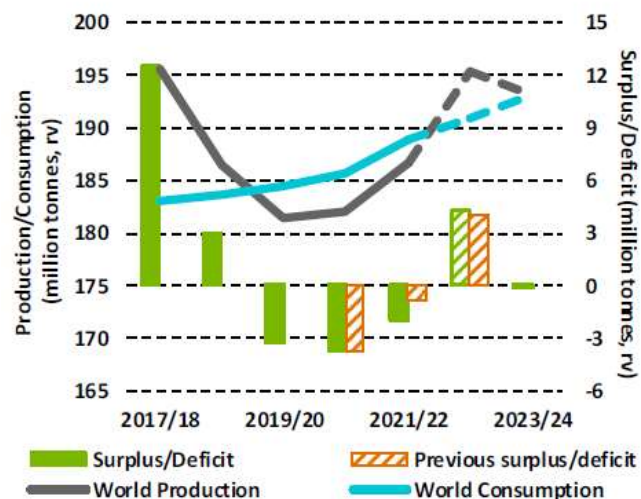
Production from key producers¹

(Mt)	Unit	2020/21	2021/22e	2022/23e
Australia	Mt, raw value	4.4	4.1	4.1
CS Brazil	Mt, tel quel	38.4	32.1	32.7
C America	Mt, raw value	5.4	5.8	5.8
China	Mt, white value	10.7	9.6	9.8
EU	Mt, white value	14.8	16.8	15.7
India	Mt, white value	31.2	35.8	35.8
NAFTA	Mt, raw value	14.4	14.8	14.6
Pakistan	Mt, tel quel	5.6	7.8	7.0
Russia	Mt, white value	5.2	5.5	6.3
Thailand	Mt, tel quell	7.4	10.0	11.9

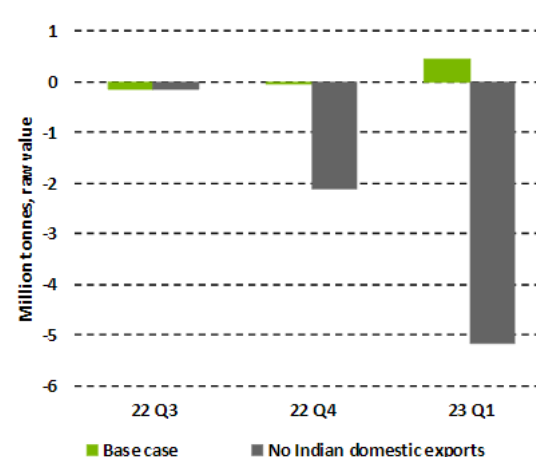
Sugar supply status 21/22 & 22/23?

- ✓ India good crop year that is expected to last for an additional crop but there are uncertainties on the effective level of Indian exports, on which the world market will be dependent (see chart)
- ✓ Brazil 22/23 down at 32.7 Mt, with sugarcane recovering from 2021 draught
- ✓ Some European/CIS production flag are getting materialized
- ✓ Short term demand signals are very strong, leading to a deficit in 21/22 (Oct-Sept); after that situation will depend on Indian exports

Global Supply & Demand²



Global Trade Balance²

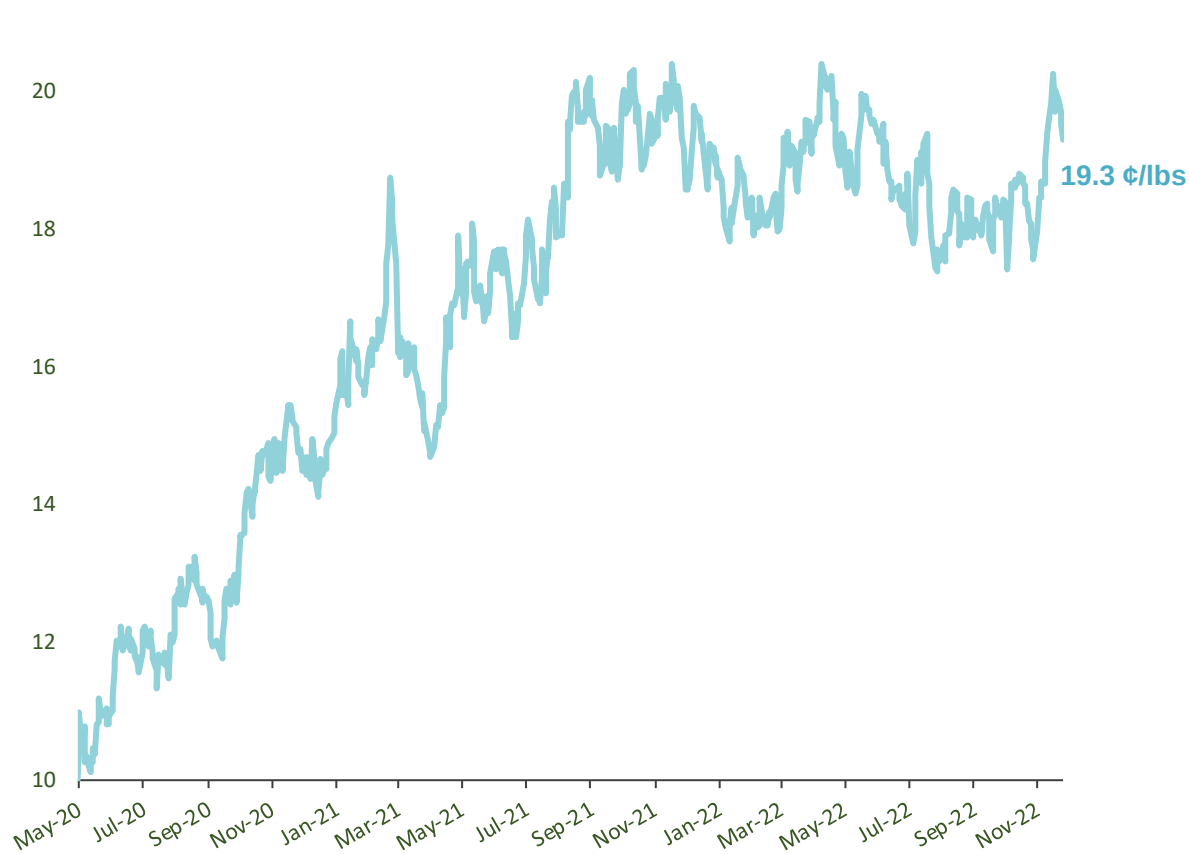


Supply & demand risks flags

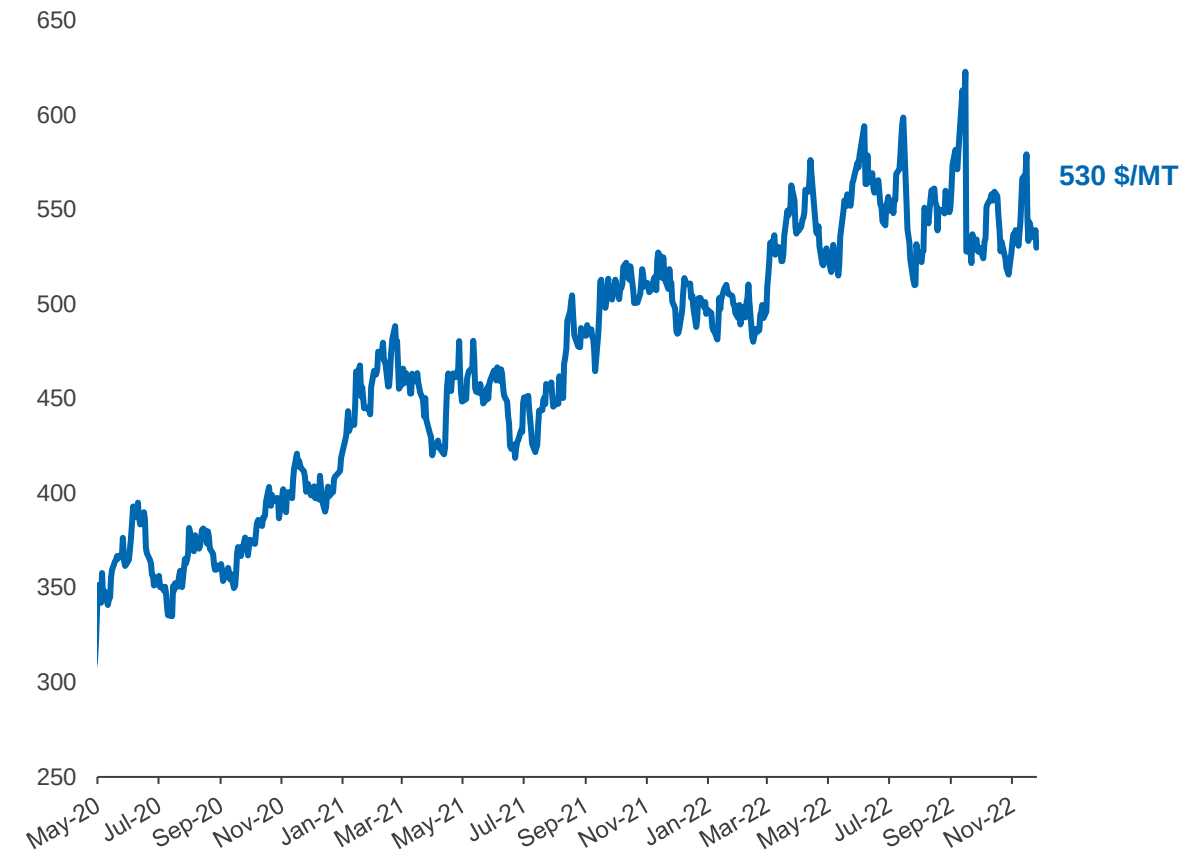
- ✓ Sugar beet in some countries could be negatively impacted by the drought and yellow virus
- ✓ Fertilizer deficit may impact yields
- ✓ Crop switch given improving competitiveness of alternatives crops
- ✓ The Brazilian sugar export will face stronger competition with grains for terminal availability as grains crop is forecasted to increase
- ✓ Uncertainties on Indian exports

WORLD SUGAR PRICES

World Sugar Index NY11 (¢/lbs)



London Sugar No. 5 (\$/MT)



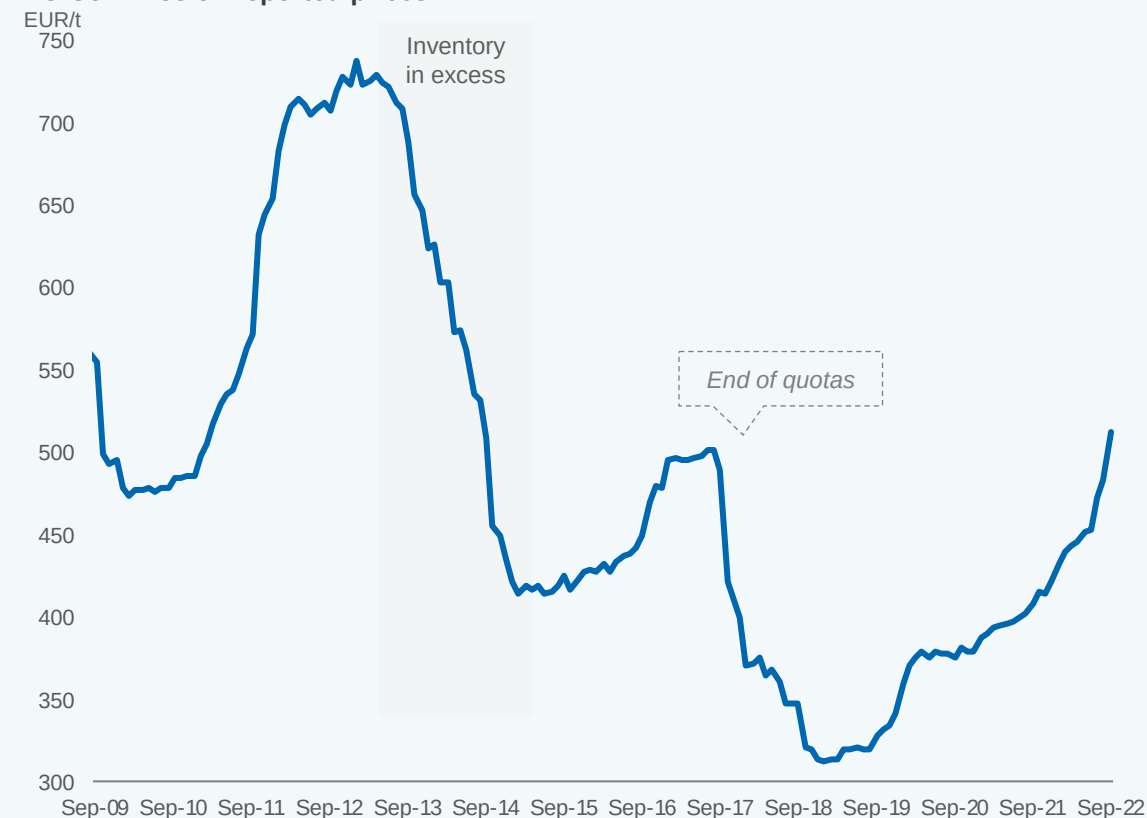
EUROPEAN SUGAR PRICES: WIDENING DEFICIT AND HIGH IMPORT PARITY

Normalising trend in prices

European market¹

(Mt, white value)	2020/21	2021/22	2022/23E
Production	14.8	16.8	15.7
Imports	2.2	2.4	3.0
Consumption	17.0	18.0	18.0
Exports	1.0	0.9	0.7

EU Commission reported prices²



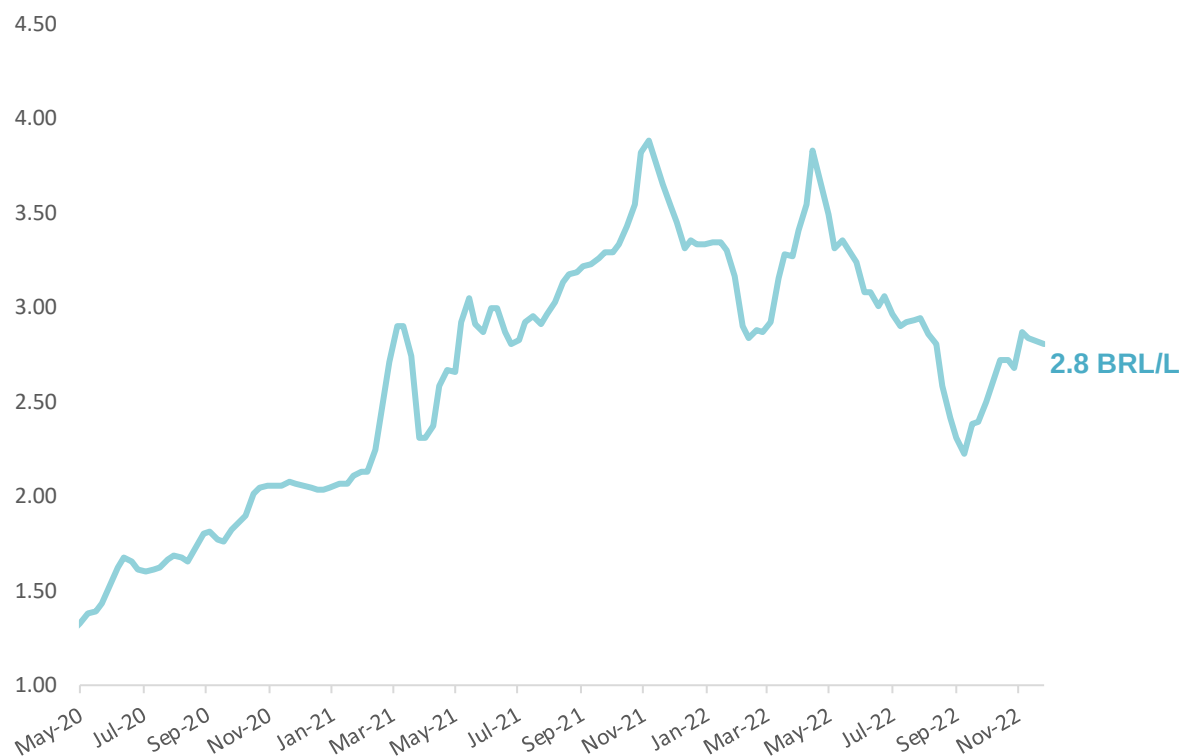
Spot prices in September / October above €900/t³

ETHANOL PRICES SUPPORTED BY CRUDE OIL PRICES AND BIOETHANOL POLICIES



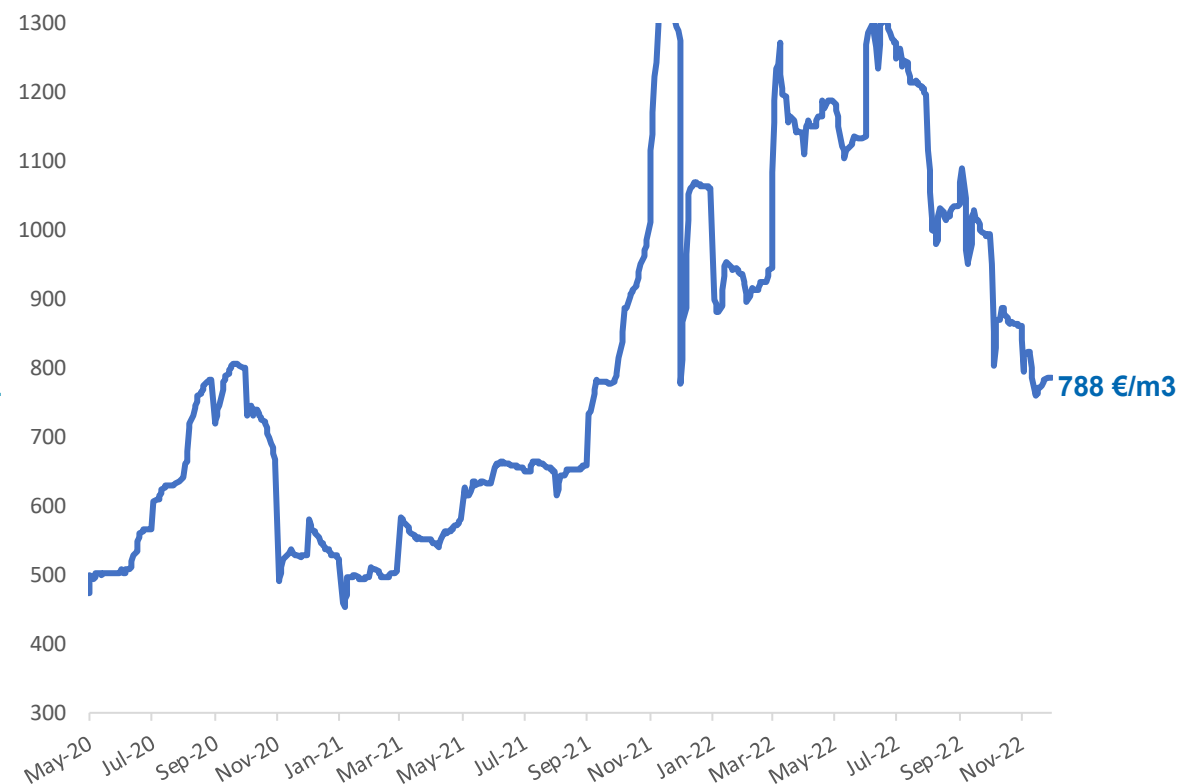
ESALQ Hydrous Ethanol (BRL/L)

Brazil

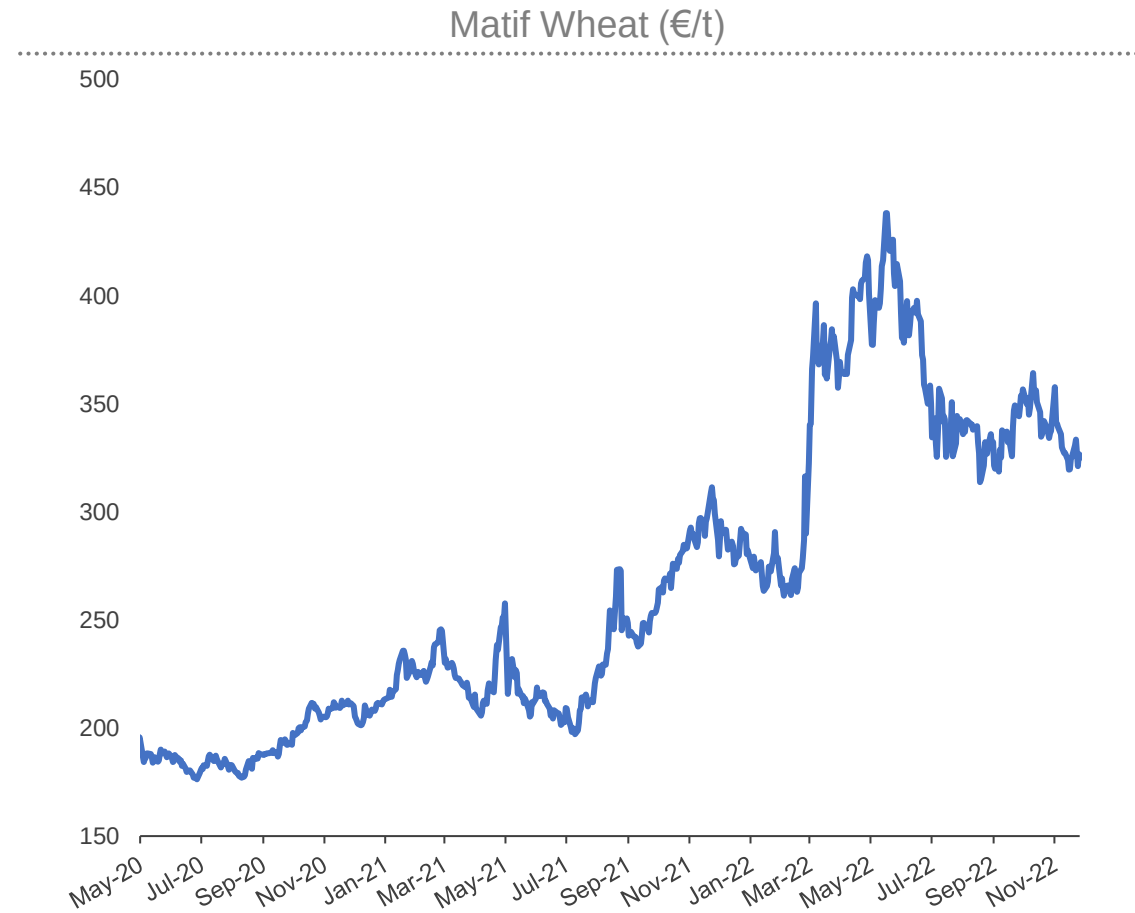


T2 Ethanol (EUR/m³)

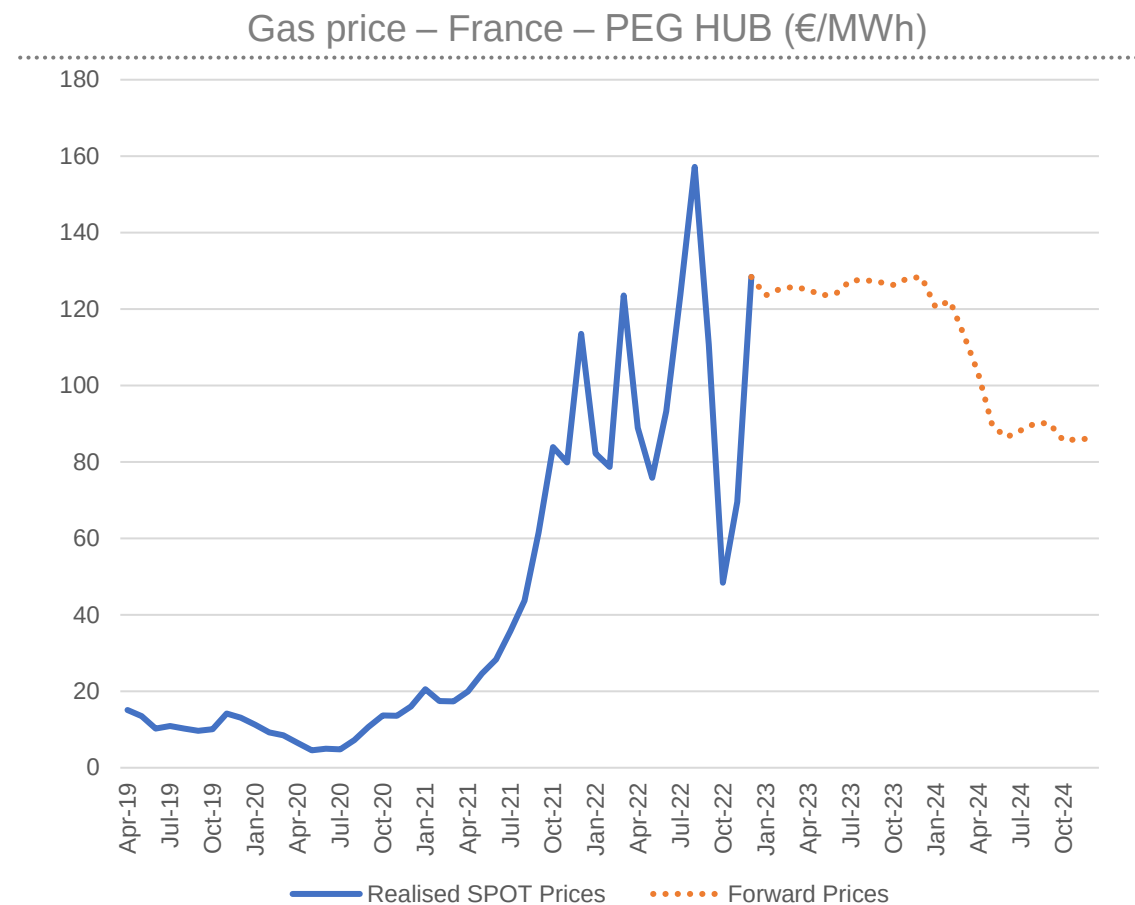
European Union



WHEAT PRICES



GAS PRICES



BUSINESS PERSPECTIVES H2 2022/23

SUGAR AND RENEWABLES EUROPE



- **Tereos sugar beet campaign**
 - _ Yields expected to be below historical yields, as of today
- **Improvement of B2B sugar prices in Europe confirmed**
 - _ Annual fixed-price contracts for B2B sales in Europe reached c. €900 per tonne on average, reflecting variation on input costs such as energy that showed high volatility during the negotiations; higher selling prices should positively impact Q3 and Q4 22/23 vs. previous year

SUGAR AND RENEWABLES INTERNATIONAL



- **Sugarcane yields improvement**
 - _ 2022 crop in Brazil finished in November with a sugarcane crushing volume of 17.3 million tonnes, vs. 15.6 million tonnes in 2021, bringing additional volume for 22/23 yoy
- **Good price levels for sugar and ethanol**
 - _ Supply and demand dynamics are supporting high price levels for the coming quarters

STARCH, SWEETENERS AND RENEWABLES



- **Continuous focus on commercial performance**
 - _ Keep commercial strategy aiming to protecting margins
- **Cereal prices being monitored**
 - _ Cereal prices should remain at higher levels, with volatility risks

TEREOS POSITION AMIDST A CHALLENGING ENVIRONMENT

KEY RISKS EXPOSURE

OUR POSITION AND ACTIONS

ENERGY

- Gas supply
- Gas price

- Review of supplier portfolio
- Tereos qualifies as “operator of vital importance”
- Solid hedging strategy

AGRICULTURE

- Weather events
- Bioagressors

- Research programs (plant varieties, planting/harvesting techniques) and top-notch knowhow
- NNI authorization in France

MARKET ENVIRONMENT

- Higher inflation
- Higher interest rates
- Price volatility

- Financing strategy to optimize debt cost
- Commercial strategy to capture opportunities
- Procurement teams focusing on limiting inflation impact

2024 OUTLOOK

RESULTS ON TRACK TO ACHIEVE 2024 TARGETS



RECURRING GENERATION
OF POSITIVE FREE
CASH-FLOW



5% EBIT MARGIN



DEBT LEVEL
BELOW €2 BILLION



DEBT LEVERAGE
< 3X

H1 22/23

€162m

9.0%

€2,240m

2.4x

(vs. H1 21/22)

€213m
(€-51m, in H1 21/22 we recognized a strong
positive effect from margin calls)

1.4%
(+7.6 pts)

€2,368m
(€-128m)

3.5x

Status

Ongoing: goal is to generate positive
FCF regardless of inflation or WC
swings; this implies cost efficiency
measures and optimization of
financial charges

Target achieved

Temporary working capital
fluctuations make this target
particularly challenging;
structural debt (excl. BFR) is
being reduced

Target achieved



